

Profit Niti – AI Report (2025-01-01 / 2025-09-30)

Last Month KPI Data (September 2025)



Sales
0

0% Last month 0



Gross Margin
0

0% Last month 0



Operating Profit
0

0% Last month 0



Break Even Sales
0

0% Last month 0



Accounts Receivable
0

0% Last month 0



Accounts Payable
0

0% Last month 0



Working Capital
0

0% Last month 0



Closing Stock
0

0% Last month 0



BS Category
0 - SHAKY

0% Last month 0 - SHAKY



IMPACT OF MANAGEMENT
DECISIONS
0

0% Last month 0

1. Big Picture — How the Business Looks Right Now

Your business is a high-margin, high-profit operation, but it's navigating significant turbulence in cash flow and working capital. For the latest period (April 2025), you generated a stellar net profit of ₹68.64 crore on sales of ₹79.05 crore, achieving an impressive net profit margin of 86.83%. However, this profitability is not translating into cash, as evidenced by a negative cash flow of ₹3.3 lakh for the month. The business is heavily reliant on debt and other liabilities to fund its operations, creating a tight liquidity position despite strong earnings.

GREEN FLAG BOX — What's Working Well

- **Exceptional Profitability:** Gross margins are outstanding at nearly 90%, and net profit margins are consistently above 75%, indicating a powerful core business model with excellent pricing or cost control.
- **Strong Return on Capital:** Your Return on Capital is an incredible 258%, meaning for every rupee invested in the business, you are generating ₹2.58 in profit. This is a sign of highly efficient capital use.
- **Reducing Debt Burden:** Secured long-term borrowings have been steadily reduced from ₹47.52 crore in Feb to ₹36.81 crore in April, improving your debt-to-equity ratio and lowering future interest costs.

RED FLAG BOX — What Needs Attention

- **Critical Cash Flow Problem:** Operating cash flow is negative, and the overall cash balance decreased by ₹3.3 lakh in April. High profits are getting locked up in working capital, not in the bank.
- **Dangerously Long Working Capital Cycle:** At 259 days, it takes over 8 months to convert inventory and receivables into cash. Inventory is stuck for 245 days, and you are paying suppliers (3 days) much faster than you are collecting from customers (17 days).
- **Weak Liquidity Ratios:** The Current Ratio of 0.97 and Quick Ratio of 0.49 indicate you do not have enough liquid assets to cover short-term liabilities, posing a significant solvency risk if not managed.

Strategic Advice:

Your immediate priority must be to unlock cash from your operations. Negotiate longer payment terms with suppliers and implement strict policies to collect receivables faster. Consider a thorough review of your high inventory levels (₹66.38 crore) to identify slow-moving stock that can be liquidated. Profitability is not the issue; cash conversion is. Fix your working capital cycle to turn your impressive profits into usable cash.



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TRANSFORMING PROFITS WITH AI

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